

Basic economics

Economic methodology: Economics is social in that it studies different aspects of human behavior and, in particular, the choices that humans need to make. For example, economists state that evidence from a demand schedule shows there is a law of demand that indicates the level of demand will go up when the price of a product is reduced and will go down when the price of a product is increased, i.e. the level of demand for a product is inversely related to its price. Economists do not state that this law will operate in every situation, but that it will operate in the vast majority of situations. It is for such reasons that it is possible to describe Economics as a social science. It is a science in the sense that it uses a number of theories and facts capable of making verifiable predictions and it is social in that it relates to the behavior of human beings.

Economic resources are limited, but human needs and wants are infinite. Indeed the development of society can be described as the uncovering of new wants and needs - which producers attempt to supply by using the available factors of production. The basic economic problem is about scarcity and choice since there are only limited amounts of resources available to produce the unlimited amount of goods and services we desire. Because resources in our world are limited and becoming more scarce and our desires are unlimited, we must make decisions and choices, which imply sacrifices; overall, the main economic problem facing all societies is how to allocate scarce resources.

Like *ceteris paribus*, 'the margin' is another tool economists use to simplify a situation. Many aspects of microeconomics involve analyzing decisions 'at the margin'. By this, economists mean that a small change in one variable, such as consumer income, will lead to further (small) changes in other variables, such as consumer spending and imports. Using the margin to analyze issues enables economists to predict what the likely impact of change might be.

The margin and decision-making: Decision-making by consumers, firms and governments is based on choices at the margin. For example, firms will produce up to the point where the revenue generated by an extra unit of output is equal to the cost of producing it. This concept - like scarcity and choice - can be applied in many different situations that economists study.

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Opportunity cost: there is a well-known saying that “there is no such thing as a free lunch!” Even if we are not asked to pay a price for consuming a good or a service, scarce resources are used up in the production of it must be an opportunity cost involved. Opportunity cost measures the cost of any choice in terms of the next best alternative forgone. Many examples exist for individuals, firms and the government.

Work-leisure choices: The opportunity cost of deciding not to work an extra ten hours a week is the lost wages forgone. If you are being paid \$6 per hour to work at the local supermarket, if you choose to take a day off from work you might lose \$48 from having sacrificed eight hours of paid work.

Government spending priorities: The opportunity cost of the government spending nearly \$10 billion on investment in National Health Service might be that \$10 billion less is available for spending on education or the transport network.

Investing today for consumption tomorrow: The opportunity cost of an economy investing resources in new capital goods is the current production of consumer goods given up. We may have to accept living standard of goods now, to accumulate increased capital equipment so that long run living standards can improve.

Making use of scarce farming land: The opportunity cost of using a farmland to produce wheat is that the land cannot be used in that production period to harvest potatoes.

POSITIVE STATEMENTS: These are objective statements that can be tested or rejected by referring to the available-evidence i.e. they deal with the facts.

Positive economics deals with objective explanation and the testing and rejection of theories. If a disagreement arises over a positive statement, it can be settled by looking at the facts. So positive statement can be true or false or correct or incorrect i.e. they may be consistent or inconsistent with the available facts. In economics a statement is positive if it concerns the factual outcomes of an economic action.

For example:

1. A rise in consumer incomes will lead to a rise in the demand for new cars

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2. A fall in the exchange rate will lead to an increase in exports overseas
3. More competition in markets can lead to lower prices for consumers
4. If the government raise the tax on beer, this will lead to a fall in profits
5. A reduction in income tax will improve the incentives of the unemployed to search for work
6. A rise in average temperatures will increase the demand for chicken

NORMATIVE STATEMENTS: These express an opinion about what ought to be. They are subjective statements rather than objective statements - i.e. they carry value judgments. For example:

1. The level of duty on petrol is too unfair and unfairly penalizes motorists
2. The London congestion charge for drivers of petrol-guzzling cars should increase to \$25 - three times the current charge.
3. The government should increase the national minimum wage to \$6 per hour in order to reduce relative poverty.
4. The retirement age should be raised to 75 to combat the effects of our ageing population
5. Doctors should be paid highly because they have to undertake a long period of training
6. Taxes are the best way to discourage smoking
7. The proposal will be unfair to motorists who have no alternative means of transport
8. Unemployment is more harmful than inflation
9. The government should reduce taxes on spending so that economic welfare will rise.
10. Since trade unions exist to safeguard the interest of their members, they deserve the legal protection of the state.

Macroeconomics and microeconomics: Macroeconomics is concerned with the economy as a whole. It is thus concerned with aggregate demand and aggregate supply. By aggregate demand we mean the total amount of spending in the economy, whether by domestic consumers, by overseas consumers for our exports, by the government, or by firms when they buy capital equipment or stock up on raw

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materials. By aggregate supply we mean the total national output of goods and services.

If aggregate demand is too high relative to aggregate supply, inflation and balance of payments deficits are likely to occur. If aggregate demand is too low relative to aggregate supply, unemployment and recession may well result. Macroeconomics thus studies the problems of recession, unemployment, inflation, balance of payments and policies adopted by the government to deal with these problems.

Microeconomics: is concerned with the individual parts of the economy. It is concerned with the demand and supply of particular goods and services and resources. For instance, an economist may study the market of DVDs. This will involve looking at the decisions and behavior of people who buy DVDs and the firms that sell DVDs. Similarly the basic question of what to produce, how to produce and for whom to produce are the subject matter of micro economics.

The production possibility curve

In any economy, what is produced is determined by the quantity and quality of resources that are available. In high-income economies, for example, many thousands of goods and services are produced as a result of the wide availability of factors of production. Low-income economies have fewer resources and the quality of resources is poorer. As a result, in low-income economies fewer goods and services are produced and there is less variety of production.

Therefore, the quality and quantity of factors of production determines an economy's production possibilities - the goods and services it can produce with the resources it has available. A simple economic model, known as a production possibility curve (PPC), can be used to show the choices available and how resources are allocated.

How the production possibility curve works

To understand how the production possibility curve works, imagine that the economy produces just two goods, say cars and televisions. These two industries

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use all of the economy's current resources between them in their production of cars and televisions. The production technology available is being fully utilized.

The PPC shows the maximum level of output of each of the two goods that can be produced. The PPC is sometimes called the production possibility frontier since it draws a type of boundary between what can be produced and what cannot be produced. Figures 5.2 and Figure 5.3 show two production possibility curves. Any point exactly on the line or curve represents a production situation where output is maximized.

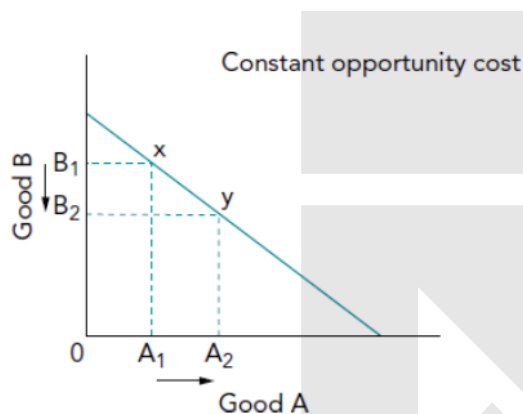


Figure 5.2: A straight line production possibility curve showing constant opportunity cost

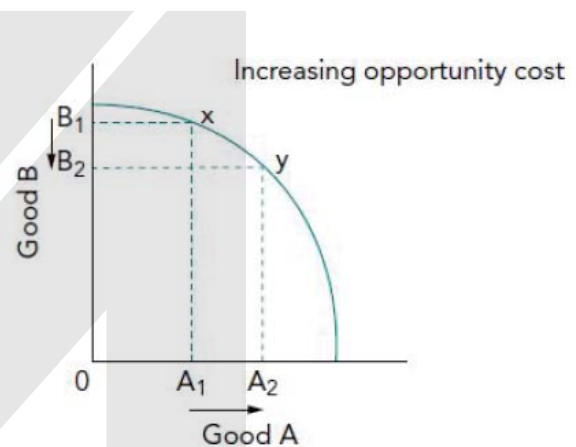


Figure 5.3: A curved production possibility curve showing increasing opportunity cost

Table 5.2 shows the various production possibilities, that is the combination of cars and televisions that can be produced.

Figure 5.4 shows the production possibility curve for the cars and televisions. The relationship between the two products is in the form of a curve.

Cars	Televisions
1000	0
800	950
600	1150
400	1800
200	1900
0	2000

Table 5.2: The combination of cars and televisions that can be produced (units)

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If all resources were being used in the production of cars, then 1000 cars would be produced and no televisions. Alternatively, if all resources were allocated to making televisions, then 2000 televisions would be produced and no cars.

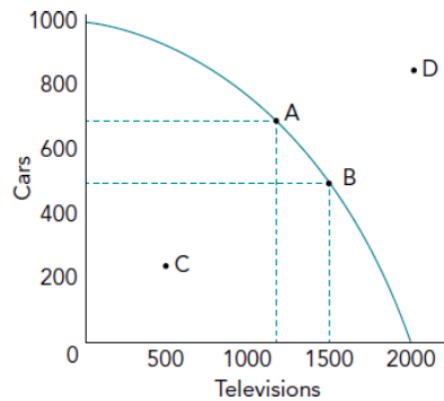


Figure 5.4: The production possibility curve for the cars and televisions

The end points of the production possibility curve represent the extreme possibilities of what can be produced. In between these extremes, there are many points on the production possibility curve where other combinations of the two products can be made while maximizing total output.

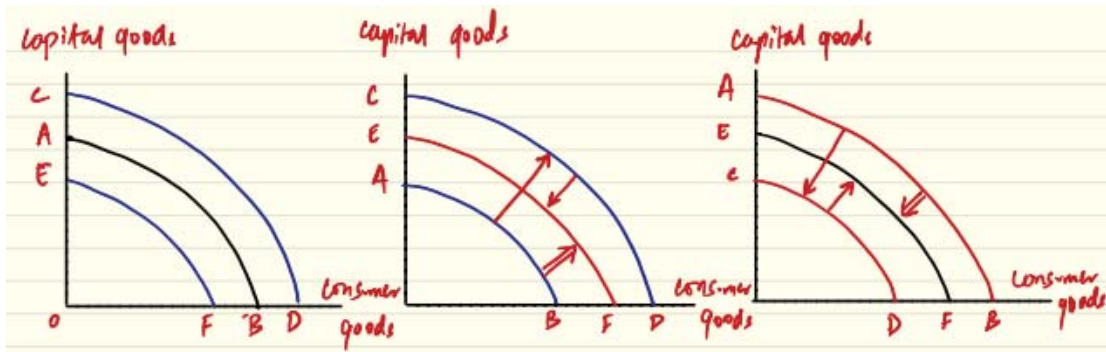
The points, like any on the production possibility curve, are important since they indicate an efficient allocation of resources. In other words, the economy is getting all it can from the resources available given the present state of technology. It is clearly sensible and beneficial for the economy to be producing on its production possibility curve.

Now consider point C in Figure 5.4. Point C is within the production possibility curve and at this point, only 250 cars and 500 televisions are being produced. This is an inefficient allocation of resources since the economy is producing less than it could from the resources available. This applies to any other points that are located within the production possibility curve.

Shift in the production possibility curve is called economic growth i.e. an improvement in the economy's ability to produce goods and services. All the points on the PPC are attainable and show a productively efficient allocation of resources i.e. output of one good cannot be increase without opportunity cost in terms of units of output of the other goods that have to be reduce.

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Economic growth (Macroeconomic concept) involves an opportunity cost; the production of consumer goods must be decreased so that more capital goods can be produced. A country must somehow decide how many of its scarce resources to devote to the production of capital goods and therefore, how many consumer goods it is willing to sacrifice. A second point is that country choices today have a significant impact on the choices it will have available tomorrow. A decision today to devote more resources to the production of consumer goods means the country will have fewer capital goods tomorrow and, therefore, fewer options available to it. By producing more capital goods today, a country will have enhanced choices tomorrow by shifting the PPC. Inward shift in the PPC can be due to depletion of natural resources/an increase in net emigration (people moving out of the country) or a rise in price of energy i.e. fall in the potential and therefore decrease in the production.

Production and productivity: Production is the output of economic resources. The production of a firm, for e.g. is the total output of the firm over a given time period, whereas productivity is the output of a unit of a factor of production in a given period. For e.g. labor productivity is the output per worker hour.

Production and productivity often move in the same direction. Indeed a rise in productivity increases a country's productive potential. If all an economy's workers are employed a rise in productivity will increase a country's production. However if unemployment is increasing a rise in production may be accompanied by a fall in production.

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ECONOMIC SYSTEMS

An economic system is a system that involves the production, distribution and consumption of goods and services between the entities in a particular society. In a given economy, it is the systemic means by which problems of economics are addressed, such as the economic problem of scarcity through allocation of finite productive resources. So economic systems are about:

1. Who owns the factors of production (resources)
2. The method used to motivate, coordinate, and direct economic activity.

The command system: It is a system in which a large portion of resource is owned by the central government. In a purely command economy, this means that all the major decisions concerning the use of resources, the composition and distribution of output, and the organization of production would be made according to the nation's central plan. This central plan is formulated by a central planning board, appointed by the government and given absolute power over all of the nation's economy. Competition is discouraged and incentives for workers are minimal, which generally leads to the result of stagnant development.

Advantages of planned economies

- The state or government controls all, or at least most, of the economic resources and so economic decisions can be taken in the interests of the whole society. For example, it might be the policy of such a government to bring about a more equitable distribution of income and wealth in the society.
- The state or government can decide which goods are going to be produced and to whom they are going to be supplied. For example, it could decide to ban the production of products

Disadvantages of planned economies

- The economic system tends to be very bureaucratic because the government intervenes in so many areas. This can contribute to the system being very inflexible and unresponsive to changes in consumer demand.
- There is less of an incentive for firms to be innovative. The profit motive is not as important as in a market economy and, as a result, the

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which it believes are against the public interest.

- Prices are more likely to be kept under control and there is likely to be a lower rate of unemployment than in a market economy.
- The majority of firms will be state owned and the lack of competition means that there is often a high level of inefficiency and a low level of productivity.

THE MARKET SYSTEM: The market system, also known as capitalism, emphasizes ownership of resources. It is also a system that is influenced by markets and prices. Goods and services are bought and sold in these markets, places where buyers and sellers come together, and the competing buyers and sellers act independently of each other.

With pure capitalism (laissez-faire capitalism means "let it be" when literally translated), the government controls private property, but is not allowed to meddle with the economy. It is believed that the government's interference will affect the efficiency of the market system. However, in most capitalist countries such as the United States, the government does still play a significant role in the economy, providing for economic stability and growth as well as enacting certain rules for economic activity. Nevertheless, the major force that drives the economy in a market system is the market itself. Competition, and demand and supply are the foundation of the market system e.g. includes United States.

Advantages of market economies

- Resources are allocated through market forces and the operation of the price mechanism; there is therefore no need for state or government intervention in the economy, and the state can then concentrate on areas such as

Disadvantages of market economies

- Some goods, called public goods, would not be provided in a market economy. Examples of these would include the provision of police and defense forces.

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international diplomacy.

- In a market economy, the key objective of producers is profit maximization and the profit motive can give an incentive to sellers; they will be encouraged to be more innovative and cost-effective than might otherwise have been the case.
- If firms can be more cost-effective in such an economy, this should lead to lower prices for consumers. Consumers would also be likely to benefit from more choice.
- The market economy, based on the idea of free enterprise, will maximize both producer surplus and consumer surplus.
- Some goods, called merit goods, would be under-produced and under-consumed in a market economy. Examples of these would include the provision of education and health services.
- Some goods, called demerit goods, would be over-produced and over-consumed in a market economy. Examples of these would include the production and consumption of alcohol (in some countries) and tobacco.
- There could be negative externalities in a market economy. Examples of these would include noise and visual pollution.

Three fundamental questions

1. What will be produced? What to produce

Market: Consumer sovereignty: determines the types and quantities of goods produced. Basically, the consumers get the last say; if consumers don't want the products, then the producers of the product don't profit. Consumers "cast" their votes (money) on the products they are willing to buy. If there aren't enough dollar votes for a product, then the businesses will stop producing that product. On the other hand, if there are many votes for a certain product, then the business will profit from it and continue to produce it.

Command: Whatever the central government deems to be needed by the nation.

2. How will the goods and services be produced? How to produce

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Market: In combinations of resources or ways that will minimize the cost of production. If labour is cheaper and more productive than capital then the producer will use more of labor and less of capital which is termed as labor intensive technique of production. On the other hand if capital is cheaper and more productive then the producer will use capital intensive technique of production.

Command: With whatever technology is available or how the government wants. Usually the state decides about the labor intensive technique of production because the state is responsible for the employment of the labor force.

3. Who will get the output? For whom to produce

Market: Consumers who are able and willing to buy the product

Command: Ideally everyone gets equal share. However, no command economies were entirely successful in this aspect.

MIXED ECONOMY: The decisions and choices are made partly by free market forces of supply and demand, and partly by government decisions. Economic wealth is divided between the private sector and the public sector. Private production is present in a mixed economy but not in a planned economy. Mixed economy is one in which the allocation of resources is determined partly by the state and partly by individual producers and consumers.

In practice, all modern national economies are mixed economies, although with differing proportions of free market and centrally planning decision-making from one country to the next.

Many of the disadvantages of the free market economy indicate that there are reasons why the government may intervene in the working of the economy. In mixed economy, market mechanisms exist, but the state also plays an important role. A government may intervene:

1. To restrain the unfair use of economic power by monopolies or other bodies which might be able to impose their wishes on the rest of society.
2. To correct inequalities of the free market system redistributing wealth between individuals between regions

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3. To provide goods and services that private enterprise would be reluctant or unable to provide in sufficient quantities and at an acceptable price, for example:
 - Goods that is socially desirable but unprofitable for private producers - for example special equipment for handicapped people
 - Services those are unsuitable for private enterprise because such ownership would be against the public interest - such as the armed forces or the legal system.
 - Services that are natural monopolies, being very large and complex - for e.g. the provision of domestic electricity or the railway system.
4. To remove socially undesirable consequences of private production - for e.g. pollution and regional imbalances in unemployment.
5. To direct changes in the structure of the nation's industries, by retraining programs, and to new industries, or investment in research and development, and so on.
6. To manage inflation rates, employment levels, balance of payments and the economic growth.
7. To moderate the ups and downs in the trade cycle trying to stimulate economic activity during a recession and to dampen demand when it is so high that steep price inflation occurs.
8. Provision of subsidies to private producers in case of merit goods
9. Taxing demerit goods or advertisement or ban

Issues of transition when central planning in an economy is reduced

In a number of countries, there has been a move away from planned economies towards economies with a greater role for the market. This has particularly been the case in the former communist countries of Eastern Europe and it has also been a feature of economic developments in the People's Republic of China. The World Bank, an international organization which aims to support developing economies, has encouraged such economic changes.

A transitional economy is one which is in the process of changing from a planned economy towards a more market-focused economy, but there have been problems associated with this process of transition. These are shown in Table 1.5.

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The issues of transition

- Inflation** Planned economies tended to keep prices relatively low, but when the economy allowed a greater role for market forces, the state could no longer control prices in the way that it previously did. One possible effect of this is that the rate of inflation in a transitional economy could be higher than that experienced in a planned economy, although of course it is possible that the general level of prices in such an economy could fall, a situation known as deflation. Either way, a government will have less control than used to be the case in a planned economy
- Industrial unrest** Trade unions had largely limited powers in a planned economy, but once state control was reduced, the trade unions demanded wage rises to match the increases in prices and these demands were backed up by strike action. There is therefore the possibility of more working days being lost in a transitional economy than in a planned economy as a result of this industrial action.
- International trade** The various planned economies had been in a trading bloc, but as they moved towards market economies they needed to establish new trading relationships with other countries. Transitional economies have a greater degree of freedom in terms of which countries they trade with, but this could possibly cause problems, such as an imbalance between exports and imports, leading to a deficit in the current account of the balance of payments.
- Employment** In many of the former planned economies, there have been changes in the employment structure, such as a move from the secondary to the tertiary sector. Many workers were unable to move from one form of employment to another and so the rate of unemployment in many of the countries increased significantly, leading to a fall in incomes. The rate of unemployment in planned economies tended to be very low, but the rate is likely to be much higher in a transitional economy.

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Factors of production

Land: It may be defined as all the free gifts of nature. As such, land constitutes the space in which to organize economic activity and the resources provided by the nature. Thus, included within the definition are all the mineral resources, climate, soil fertility, forests, mountains and mines, etc. The sea, since it is resource both for fishing and mineral exploitation would also fall within the definition of land.

Labor: It may be defined as the mental and physical efforts of humans used in the production of goods and services. Included in this definition are all the efforts which people undertake for reward, either in the form of wages and salaries or income from self-employment. It is inevitable that some workers are more productive than others because of the education, training and work experience they have received. What matters is the size and quality of the workforce. An increase in the size and the quality of the labor force is vital if a country wants to achieve economic growth.

Capital: It is a means of production that is made by human labor and used for the further production of goods and services. Drill presses and other machines, dams, roads, irrigation canals and building are examples of things that may be considered as capital if they are used to produce other goods. We also define capital as the stock of wealth existing at any one time. As such, capital consists of all the real physical assets of society. An alternative formulation would be:

Capital is all those goods which are used in the production of further wealth. Capital can be divided into fixed capital, which is such thing as buildings, roads, machinery, etc. And working capital or circulating capital which consists of stocks of raw materials and semi-manufactured goods. The distinction is that fixed capital continues through many rounds of production while working capital is used up/changes its form in one round; for example a machine for canning beans would be fixed capital, while stocks of beans to go into cans would be circulating capital.

Entrepreneur: It is said that, left to themselves, land, labor, capital and technical knowledge will not produce anything on their own. There must be someone to

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organize these factors in a particular combination to produce output of goods and services. Someone is required to decide about what, how, where, and for whom to produce. Whoever takes these decisions and assumes the associated risk is called an entrepreneur.

The role of the entrepreneur in contemporary economies

Enterprise plays a very significant role in a modern economy. It has already been pointed out that there are two aspects of the entrepreneur's role in contemporary economies:

1. the organization of the other factors of production of land, labour and capital
2. the risk taking that arises from the situation of uncertainty that will be associated with any initiative that they take

An entrepreneur produces output in an expectation that he will make profits. He anticipates the demand for the product and produces output by employing the necessary factors of production on which he incurs some costs of production. This is why he is also called a risk-taker. If his anticipations are correct, he makes profits; if not, he incurs losses.

The importance of time periods: We live in a world of change. Change is all around us - in daily life, at home, at work, and in the ways in which economies function. Economists take change into account in their analysis of situations. They use time periods to assess how, over time, change can influence the concepts that economists seek to model and explain. For example, the following time periods are often used when economists discuss the factors of production (resources or inputs that are used in the production of goods and services - land, labour, capital, enterprise):

- The short run is a time period in which it is possible to change only some inputs. Typically, it is when labour, a variable resource or factor of production, can be increased or decreased to change what is produced. So, with all other factors of production such as capital resources remaining the

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same (*ceteris paribus*), a firm taking on more workers may be able to increase the quantity of goods it produces.

- In the long run, it is possible for all factors of production or resources to change. So, in the long run, a firm may improve the quality and quantity of its capital by building a new factory to increase its output. This will usually allow the firm to be more efficient since it has had time to assess the best way to achieve its objectives.
- The very long run is where not only all factors of production variable are but all other key inputs are variable. Key inputs can include technology, government regulations and social concerns. The key concept 'Time' may be used to show where the distinction between the short run and the long run is an important consideration.

The difference between human capital and physical capital

As a factor of production, 'capital' can be more correctly described as physical capital.

It is the result of more resources being made by businesses and government in the wide range of items such as factories, machinery and infrastructure referred to earlier. The quality as well as the quantity of physical capital is often considered to be the most important source of economic growth in low-income and lower middle-income countries.

The importance of the quality of labour as a factor of production has been referred to earlier. Building on this idea, economists often refer to human capital. This is the value of labour in contributing to the productive potential or future growth in an economy. Human capital can apply to individuals as well as to the population as a whole. It covers the skills, knowledge and experience of labour that is being used to produce goods and services. These skills may affect the future earnings of individuals and of the economy. Therefore, human capital can be seen as an investment by individuals, employers and the government to increase the future rate of economic growth.

Division of labor and specialization: Division of labor is the term used in Adam Smith's "the wealth of nations" to describe the separation of manufacturing

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process into distinct and simple and simple operation which are then delegated to specific hand or machines to perform. When workers perform the simple task repeatedly, they become specialized in that particular process of production. On a firm's level, specialization refers to the organization of production in which individual workers specialize in the production of a particular good or service.

There are different types of division of labor/specialization: One of them is the simple division of labor. This is the division of society into major occupations: carpenters, blacksmiths, weavers etc. it may also be termed functional division of labor. Another kind of division of labor is the complex division of labor which is splitting up of task into a number of processes and sub-processes and each process or sub-processes is carried out by a separate group of people. For e.g. at different stations on a car assembly line, different groups of workers perform separate tasks such as fixing of doors, wheels, dash-boards and so on. A third type of division of labor is the territorial/ regional division of labor. This form of division of labor refers to certain localities, cities or towns specializing in the production of sports goods; stoke (UK) is famous for pottery.

Advantages of division of labour

- Saving of time: it can take a lot of time moving from one task to another in the production process. Division of labour helps to reduce this wastage of time and so can contribute to a reduction in costs.
- Application of technology is made easier: division of labour involves workers becoming specialists in particular tasks and this will make it easier to apply technology, such as machinery, to specific tasks

Disadvantages of division of labour

- Dependency on others: specialization, through the division of labour, means that the process of production is divided into separate tasks, but there is a potential danger of one group of workers being held back by another group at a different part of the production process.
- Dependency on technology: although technology can be used to support workers, and enhance their skills, there is always the danger that the technology takes over and this may cause workers to become disaffected.

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- Increase in skill: division of labour enables workers to concentrate on particular tasks and this will enable the worker to become very skilled in these specific tasks. Repeated practice in the task will enhance efficiency and by concentrating on what they do best, workers will become highly motivated.
- Increased productivity: division of labour enables workers to specialize in particular tasks and, as a consequence, productivity, or the output per worker per time period, is likely to increase. If output is increased, this will lead to an improvement in the standards of living of economics.
- The potential to earn higher earnings: an individual worker who is highly skilled and well-motivated is in a better position to try to secure higher earnings (this will, of course, depend on a number of other factors such as the profitability of the firm
- Over-concentration on particular skills: division of labour is based on the idea that workers concentrate on using particular skills, but there is a danger that this focus on certain skills could be at the expense of other useful skills that are not being encouraged.
- Frustration, boredom and alienation: by its very nature, division of labour involves workers in repetitive tasks and this may lead to a reduction in levels of motivation (some firms get round this by giving workers some degree of variety in what they do rather than getting them to do the same thing every day). If levels of motivation are reduced, this is likely to have a negative effect on though productivity of a worker.
- Unemployment: specialization, through division of labour, is useful as long as there is a demand for the particular skills of workers, but there is a danger that the demand for such skills decreases, some workers may find themselves unemployed. This would be less of a problem if the workers soon found alternative employment (this would be frictional unemployment), but if the demand for such skills applies to a whole industry, it may be very difficult for the workers to find alternative employment.

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Specialization and exchange: A system of specialized production, no matter how simple, cannot exist without exchange, when people become specialists they are dependent upon some system of exchange to provide them with the variety of goods and services required to satisfy their wants. For example, without some means of exchange, farmers would have too much corn for their personal needs, but would have no coal, oil, electricity or machinery. There must be some means whereby the outputs of specialist producers can be exchanged. In most economies the use of money enables people to exchange labor for a wage which in turn is exchanged for a wide variety of goods and services.

Specialization and the size of the market: The principle of the division of labor can also only be applied extensively when there is a large market for a standardized product. For workers to specialize, output must be high enough for there to be a large enough labor force for each worker to carry out specialized tasks. For example, within the car industry there is considerable specialization and the application of technically advanced machinery, in the production of standardized popular models which are produced in larger quantities. However there is less scope for the division of labor in the producing of racing cars which are produced in much smaller quantities and to individual designs. The size of the market and hence the opportunity to apply the division of labor also depends on the existence of the transport system which facilitates the distribution of products.

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